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BECAUSE THE TRUTH INVOLVES US ALL

## Global capital is no longer cheap, that's the challenge

TEN-YEAR US and French government bond yields hit 5.34 and 4.99 per cent respectively last week, their highest since 2002, while crossing 3.1 per cent for Japan, the first time after 1996. The increase in borrowing costs for the governments of these countries over the past one year works out to 1.2-1.4 percentage points. That's roughly twice the 0.7 percentage points rise in the 10-year Indian government security yield, which closed the week at 7.21 per cent. Simply put, investors are demanding higher returns from governments on the tradable debt instruments issued by them that, being backed by the sovereign's power to tax and print currency, are ostensibly default risk-free. And unlike before, they aren't differentiating much between the governments of advanced and emerging economies; the bonds of the former are the ones that have surged to multi-decade peaks.

There are three reasons for this. The first is the persistent deficits run by developed country governments, due to aging populations, expanded social welfare commitments alongside military build-up, and voter resistance to tax increases or entitlement cuts. The US's outstanding public debt has surpassed \$40 trillion. Its defence budget for 2026 reached a record \$1 trillion, with the Donald Trump administration proposing \$1.5 trillion of spending for the coming fiscal year. The Washington-based Institute of International Finance has estimated that advanced economies paid over \$3.3 trillion in interest on globally traded government bonds last year. The perception of mounting fiscal risk also explains Chinese holdings of US Treasuries falling to an 18-year-low of \$618 billion in July 2016, from the peak \$1.32 trillion of November 2013. The second reason is commodity inflation from war and weather-induced supply shocks, driving central banks to raise interest rates as well as signal further increases ahead.

The third has to do with the global race for building AI infrastructure. The combined capital expenditure of the four large "hyperscalers" alone — Meta, Microsoft, Amazon and Google — was \$410 billion in 2025, while projected at \$725 billion in 2026 and \$1.1 trillion-plus in 2027. A significant part of this is being funded through debt. As tech companies have turned to the bond markets, it has forced governments to compete ever harder for investor money, driving up yields on even "safe haven" long-term US Treasuries. For India, the implications are two-fold. Policymakers and corporates, for one, must reconcile themselves to global capital being no longer available cheap. Secondly, the importance of fiscal discipline, and the government not crowding out private sector borrowings, applies no less at home.

IN FEBRUARY this year, 10 days after New Delhi and Washington unveiled the framework for an interim trade deal, I testified before the US-China Economic and Security Review Commission on Capitol Hill. One of the points I made was that the costliest tariff in the India-US relationship was not any rate on paper, but confusion. Whatever Washington does on trade with partners like India, it should pair enforcement with predictability through transparent guidance, structured consultations, and fewer of the avoidable uncertainties that push partners and firms to hedge. Days later, the US Supreme Court struck down Trump's reciprocal tariffs, the country-by-country duties he had imposed since April 2025 under an emergency law that was also the basis on which India's new rate had been set. From then on, confusion stopped being a risk and became the operating condition.

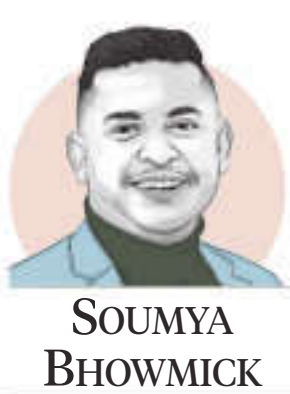
We are still stuck there. Twenty months after the two governments launched negotiations, the deal has stalled for a third time. In August 2025, American negotiators called off a round in New Delhi as tariffs on India climbed towards 50 per cent. In February, a planned visit by India's negotiators was put off while the legal ground kept shifting. Now, a week after the US State Department declared that the deal was "90 per cent-plus there", the US Trade Representative has said hesees nothing imminent. The reasons have changed each time, but the story has remained the same: The two sides have moved closer on the text even as the payoff from sig-

ning has kept shifting. So the real question is not how close the deal is, but what India would actually get if it is signed today.

In February, the joint statement set out to bring the US tariff on Indian goods down from 50 to 18 per cent. In return, India agreed to cut its own duties on American industrial goods and buy more from the US. Within two weeks, the legal basis for that 18 per cent was gone. Washington first imposed a temporary global tariff on most imports, then replaced it in July with new tariffs based on how effectively each country keeps goods made with forced labour out of its market. India landed in the lower group at 10 per cent, helped by its own move to ban such imports, which was a sensible step. But Vietnam, which competes with India in many of the same products, pays only slightly more, while several other countries pay the same as India. The clear advantage India appeared to have won in February has shrunk to a narrow lead that could easily disappear.

New Delhi wants a clear advantage over its rivals before it signs, and the logic is easy to follow. If India cuts its own tariffs and agrees to buy more from the US, but Indian companies selling goods to America end up no better than they are today, India gains very little from the deal. The objective makes sense, but a tariff advantage is a weak thing to rely on because, under the current US system, it can be lost in at least three ways.

First, the edge is relative, and Washington decides who gets it.



Soumya Bhowmick

The new rates have already moved once, with India itself among a handful of economies whose proposed rate of 12.5 per cent was cut to 10 per cent after they acted on forced-labour imports during the investigation. Vietnam's trade deal with the US is now reportedly close to completion, and if it is signed, India's margin could disappear overnight.

Second, the baseline itself can change. A separate US investigation into "structural excess capacity", opened in March, covers 16 economies, including India and Vietnam, and has a statutory deadline of March 2027. Its findings could reset rates across board, regardless of what New Delhi signs now. Sector-specific tariffs also sit outside any bilateral rate. Generic medicines, the backbone of India's pharmaceutical exports to the US, are exempt from the new pharma duties for now, but that exemption is up for review by April 2027, and Trump has announced a plan to impose steep duties on imported generics from 2028.

Third, what each side gives up does not last equally long. India would offer tariff cuts on industrial goods, openings on some farm products and purchase commitments, all of which would be long-term and politically difficult to reverse. In return, it would receive a tariff rate set by an administrative decision that Washington can revise on its own. India would, in effect, be trading permanent concessions for a temporary advantage, an exchange few governments would

accept in any other setting.

New Delhi's bargaining power would, therefore, be better spent securing terms that are harder to reverse than chasing a wider tariff gap. It should seek a ceiling: Washington would commit not to raise duties on Indian goods above the agreed level for the life of the deal, not to treat India less favourably than competitors, and to subject any new tariff affecting India to prior notice and consultation. India should also seek sector-specific exemptions written into the agreement, starting with pharmaceuticals. Certain Indian speciality medicines already qualify for zero duty under the new pharma tariffs, suggesting that such carve-outs are negotiable. Finally, India should phase in its own tariff cuts and purchase commitments and tie them to US compliance, so that if Washington raises India's rate or withdraws agreed exemptions, India's obligations adjust in turn.

There is a practical reason to push for this now. In the past eight months, Washington has based its tariffs on three different laws, namely the emergency statute the Supreme Court struck down, a temporary measure that expired in July, and the forced-labour tariffs now in place, a sequence that would be a joke if exporters were not paying for it. The central problem in this trade negotiation is therefore no longer simply how low the tariff is, but how long the agreed terms can be relied on.

The writer is with the Observer Research Foundation

## An old friendship renews itself through an ambitious pact



Guy Parmelin

THE LAST time I wrote for this newspaper was in February, when I arrived in Delhi for the AI Impact Summit. Eight months and one G7 meeting with Prime Minister Narendra Modi later, I am back in Delhi. This time, I am here to mark a significant anniversary: The first anniversary of the entry into force of the Trade and Economic Partnership Agreement (TEPA) between the EFTA states and India. I am returning as a guest of the Republic of India on a state visit, demonstrating how what began as a trade negotiation has evolved into a partnership between two economies and a friendship between two democracies.

Anniversaries invite summaries. I would rather treat this one as a checkpoint. What TEPA has delivered is not just a headline but something more durable: Tariff lines that have actually moved, and firms making decisions on the strength of it.

Switzerland is bringing precision machinery, pharmaceuticals, MedTech and specialty chemicals to this agreement — the kind of intermediate goods and technical capability that will feed into Indian manufacturing rather than compete with it. It is too early to declare results after a year, but the direction is clear. Tariff schedules and procedures do not change behaviour by themselves; they only do so when companies decide that the change is substantial enough to plan around. From our conversations with Swiss businesses, we can see that they are in the early stages of making this calculation.

The figure that will matter more than any other over the next decade and a half is the \$100 billion investment and job-creation goal tied to TEPA — the first time an Indian trade agreement has linked market access to a concrete investment goal rather than tariff schedules alone. Beyond this is a broader ambition: To deepen economic ties, encourage long-term investment, create opportunities for employment and strengthen cooperation between companies, institutions and people. The essential work of building institutions is well underway. A dedicated Desk has been set up to support EFTA companies with a smooth, informed, and confident investment experience.

This is a partnership in which both sides gain. India gains capital, technology, and easier access to a market for high-

value goods. Switzerland gains something we need just as much: A large, fast-growing trading partner at a moment when global trade is more fragile and unpredictable than it was even a year ago. Diversification is a strategic priority.

One more point deserves emphasis because it distinguishes TEPA from an older generation of trade deals. The TEPA carries meaningful provisions on labour standards, environmental protection and responsible business conduct. They reflect commitments that India and the EFTA states made together, and they show what a modern trade agreement can achieve.

Alongside the trade and economic relations between our countries, there is a broader relationship: Scientific and research cooperation that go back decades, a steady flow of Indian students and professionals through Swiss universities and technical institutes, growing numbers of Indian visitors to the Alps, and Swiss tourists drawn to India. There is also a substantial diplomatic relationship that has produced a dense web of bilateral agreements on science and technology, aviation, taxation, and education over the decades. None of this is reflected in the trade balance, yet it arguably makes the trade balance possible, a level of familiarity and trust between our two societies that has been quietly built up over many years, visit by visit and exchange by exchange, long before anyone thought to call it a partnership.

In 2028, Switzerland and India will mark 80 years since signing their Treaty of Friendship, a document that promised "perpetual peace" and "unalterable friendship". Those are large words for any two nations to live up to. But I think we have. Each era renewed it in the terms available to it. Scientific exchange in one decade, student visas in another, now a trade agreement with a \$100-billion ambition attached to it. The TEPA, but also the Migration and Mobility Partnership and the Young Professional Agreement to be signed are simply today's answer to a promise made almost 80 years ago: A practical framework that can deepen our friendship through mutual support and a shared interest in sustainable growth, prosperity, and long-term success.

The writer is president, Switzerland

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